

Corporate Valuation Project: Pharmaceutical Sector



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VIATRIS™

Global Pharmaceutical Industry.

- Expected growth driven by rising healthcare needs, aging populations, and expansion in emerging markets.
- Key trends: Growth in generics, biosimilars, and innovation in biologics.

Biosimilars Market

- Generics dominate global prescriptions but face price pressures.
- Biosimilars growing rapidly (20%+ CAGR), offering opportunities as patents expire.

Domestic Market(U.S).

The U.S. is the largest pharmaceutical market, characterized by high competition in generics, pricing challenges, and frequent regulatory shifts. Increasing scrutiny on drug pricing and ongoing market consolidation create both risks and opportunities. Additionally, evolving FDA regulations continue to influence market dynamics.

Challenges and Opportunities

- Key Challenges: Intense pricing pressure, stiff competition, and complex regulatory requirements.
- Opportunities: Expansion in biosimilars, strategic partnerships, and growth in emerging markets. Additionally, increasing demand for specialty generics and niche therapeutic areas offers significant potential.

Viatis Inc.

Company Overview

Formed in 2020 from the merger of Mylan and Pfizer's Upjohn division. Focuses on generics, biosimilars, and complex generics.

Business Segments

Generics: Strong portfolio in key therapeutic areas.

Biosimilars: Expanding into oncology and autoimmune diseases.

Global Reach: Operating in 165+ countries.

Strategic Focus

Streamlining operations, reducing debt, and targeting biosimilars growth.

Financial Snapshot

Recent revenue: ~\$15 billion. Focus on improving margins and cash flow.

Motivation and Purpose behind valuing Viatris

Developments

Viатris Inc. has been in the spotlight ever since it was formed in 2020. Market analysts and news outlets have raised concerns regarding whether the company's stock is potentially undervalued given its financial performance and strategic initiatives.

Industry Shifts

The pharmaceutical industry has seen significant shifts, including patent expirations, pricing pressures, and increased competition in generics and biosimilars—core areas for Viatris. This has led to speculation regarding the company's ability to sustain growth and profitability.

Purpose

The valuation aims to determine if Viatris Inc. is currently overvalued, undervalued, or fairly valued based on a detailed financial analysis. The results will guide investment decisions and provide insights into the company's strategic outlook.

Approach to Valuation

Valuation Methodology: Discounted Cash Flow (DCF)

We used the DCF model, which estimates the company's value by projecting future cash flows and discounting them to their present value using the Weighted Average Cost of Capital (WACC).

Key Derivations:

Revenue Projections: Sales are expected to decline slightly in the short term, stabilizing in the mid-to-long term with a slight growth rate of 2-3%.

WACC Calculation: The discount rate of 7.1% was derived considering a cost of equity of approximately 10.69% and a cost of debt adjusted of 4.21% for Viatris's capital structure.

Terminal Value: A terminal growth rate of 3.09% was applied beyond 2033 to reflect long-term stable growth.

Free Cash Flow (FCF) Projections: Cash flows were projected over a 10-year horizon, factoring in operational efficiencies and ongoing strategic initiatives to enhance margins.

Results

Enterprise Value (EV):

The DCF model estimates an enterprise value of approximately \$32.64 billion.

Equity Value:

After adjusting for debt and cash, the estimated equity value per share is \$11.82 (replace with your computed value).

Sensitivity Analysis:

- A sensitivity analysis was performed to assess how changes in WACC ($\pm 1\%$) impact the valuation. It showed that there was a 40% reduction in share value on increasing WACC by 1% (to 8.1%) and a 60% increase in value on reducing WACC by 1% (to 6.1%).

Key findings: The valuation is highly sensitive to WACC adjustments, underscoring the importance of accurate discount rate selection.

Conclusion:

Based on the DCF analysis, Viatris Inc. appears to be correctly valued with respect to its actual share value of **\$11.76**.

Assumptions

Revenue Growth Projections-

Short-Term Decline: Expected modest decline in revenue due to pricing pressure and patent expirations.

Mid-to-Long-Term Stabilization: Revenue growth stabilizes at around 3% driven by biosimilars, emerging market expansion, and new product launches.

Operating Margins-

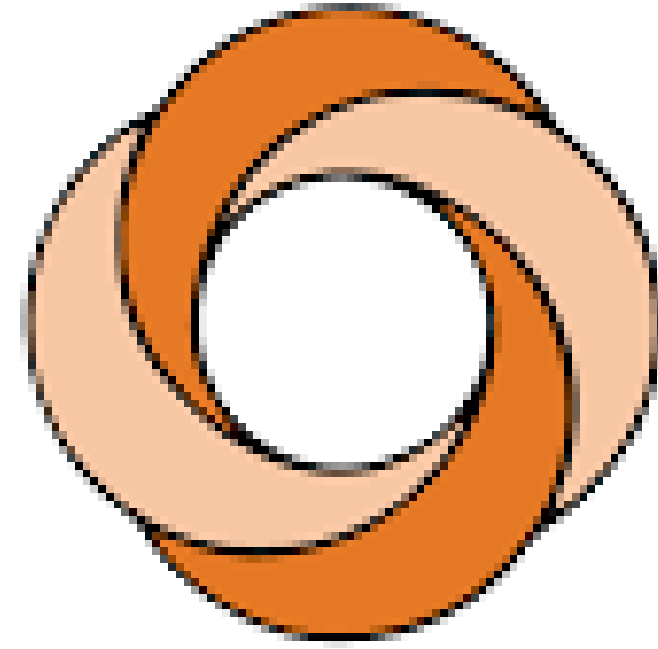
Efficiency Initiatives: Target EBITDA margins are at 30-35%.

Product Mix Impact: Higher margins anticipated from biosimilars and specialty products.

Capital Expenditures and Working Capital-

Capex Optimization: Focused investments in high-growth areas while controlling maintenance capex to boost free cash flow.

R&D: R&D is assumed to be at a constant 5% of revenues.



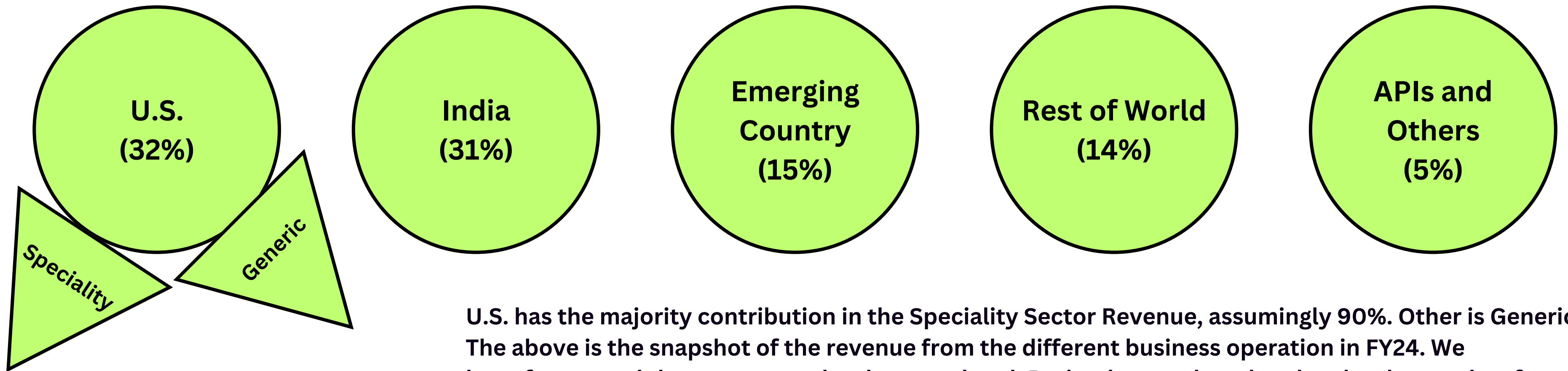
SUN
PHARMA

Relative Valuation

- Sun Pharma operates in over 100 countries, focusing on generics, specialty drugs, and active pharmaceutical ingredients (APIs)
- Peer companies selected for comparison also have a global presence
- Dr. Reddy's Laboratories and Cipla, despite involvement in medical diagnostics, are included in the relative valuation due to their minimal revenue from this segment
- Glenmark Pharmaceuticals is excluded due to its high EPS growth of 178.02%, which significantly exceeds the industry average, and the large gap between its 5-year CAGR and projected growth
- Sun Pharma's large market cap led us to use the 3rd quartile for determining its Enterprise Value and share price
- For long-term analysis, the EV/EBITDA ratio indicates Sun Pharma is undervalued by 52%
- For short-term analysis, the P/E ratio suggests Sun Pharma is overvalued by 39.45%

Revenue Forecasting

Sun Pharma wants to be the leader in the Global Speciality Business and its focus for the next decade is in the Speciality Business Segment.



Revenue Forecasting

U.S. Speciality

Worst Case

The Revenue is expected to grow at the market great at least. The global speciality market is expected to grow at 5.2% the next decade.

Base Case

Since Sun Pharma is heavily transforming itself into Global Speciality Leader, it is expected to maintain its current growth, 25%, in speciality for the next 05 years, and then growth rate declines linearly to matches the market growth rate of 5.2% at 10th year. This is logical as Sun Pharma has planned to increasde its R&D, and NDA filings. The slow growth rate in the last five years assumes that competitor will catch up.

Best Case

The best case assumes that you will be able to build and maintain sustainable advantage. Thus, the revenue will grow at a CAGR of 25% over the next decade.

Revenue Forecasting

U.S. Generics

Worst Case

We expect the growth rate to be the same as NA pharma industry growth rate, 6.5% for the next 05 years, and 5% for the remaining 5 years.

Base Case

We expect the growth rate to be mutiple of two factors.

Market Growth Rate Company Growth Rate

Market growth rate is to be 6.5% in the first 5 years and then gradually decrease to 5% in the 10th year.
Company growth rate is drive by growth in number of ANDA approved over the year. We assume that the current growth rate of 1.91% will remain constant each year, meaning each year ANDA approval will be of constant growth for the next 10 years.

Best Case

We expect the growth rate to be mutiple of two factors.

Market Growth Rate Company Growth Rate

Market growth rate is to be 6.5% in the first 5 years and then gradually decrease to 5% in the 10th year.
Company growth rate is drive by growth in number of ANDA approved over the year. We assume that the current growth rate of 1.91% will reach 4% in year 10, thus increased gradually.

Revenue Forecasting

Indian Business

Speciality growth will take time in India, and emerging markets.

Worst Case

Expected growth rate of market growth rate of 8%, high growth speciality or other therapeutic areas take time more than 10 years.

Base Case

Expected growth rate same as India's Pharma market growth rate, 8%, but assumes that after 5 years we see growth in India due to speciality, thus stretches the growth to 12% till 10th year.

Best Case

Expected growth of 8% in the first 05 years and then 12% in the next 05 years.

Revenue Forecasting

Emerging Markets

Worst Case

Driven by pharmaceutical growth in emerging market. 10% in 10 years. Assuming no rapid growth due to speciality, or company's new product lines.

Base Case

Driven by pharmaceutical growth in emerging market. 10% to 13% in 10 years.

Best Case

Driven by pharmaceutical growth in emerging market. 10% to 13% in 5 years and then stable growth of 13% in next 5 years. This is due to open regulatory support for generics.



Revenue Forecasting

Rest of World

Western Europe, Canada, A&NZ, Japan, Israel and others

Worst Case

Base Case

Best Case

Only Western Europe will drive the maximum growth among them. Sun Pharma is not excessively focusing on these locations, thus it will grow using the market growth rate of 5.5% as given in the annual report.

Revenue Forecasting

API

The growth driver of API is Generic and Innovator Companies.

Worst Case

Expected growth rate of 02-04%, assuming increased competition from low cost manufacturing market like china, and stricter regulations and compliance requirement.

Base Case

Expected growth rate of 07-08%, assuming stable demand of generic component and biosimilars. Outsourcing continues to be a major shift here.

Best Case

Expected growth rate of 10-12%, fueled by rapid growth of generic medicines in the emerging market, supportive regulatory environment, and accelerated growth in biologics and biosimilars.

DCF Assumption

Revenue growth :

Sunpharma's business is divided into 5 sectors - US, India, Rest of the world, emerging markets and API

Best Case:

- ANDA Growth: Gradually increasing from 1.90% in 2024 to 4.00% by 2034.
- NA Pharma Industry Growth: Steady at 6.50% until 2029, then gradually decreasing to 4.00% by 2034.
- US Generics Growth: Starting at 8.75% in 2024, peaking at 9.64% by 2029, and gradually declining to 9.20% by 2034.
- Emerging Market: Strong growth from 10.00% in 2024 to 13.00% by 2030, stabilizing at 13.00% till 2034.
- India Business: Consistent growth at 8.00% until 2030, with a slight increase to 12.00% in 2031.
- Rest of World: Constant growth at 5.50% throughout the forecast period.
- US Specialty: High growth starting at 25.00% in 2024, gradually decreasing to 10.40% by 2034.

DCF Assumption

Base Case:

- ANDA Growth: Consistent at 1.90% throughout the period.
- NA Pharma Industry Growth: Steady at 6.50% until 2029, then decreasing to 5.00% by 2034.
- US Generics Growth: Stable growth at 8.52% until 2027, then gradually decreasing to 7.00% by 2034.
- Emerging Market: Growth increases from 10.00% in 2024 to 13.00% by 2034.
- India Business: Stable growth at 8.00% until 2030, increasing slightly thereafter.
- Rest of World: Consistent at 5.50% throughout the forecast period.
- API and Others: Stable growth at 7.00% throughout.
- US Specialty: Starting at 25.00% in 2024, gradually decreasing to 5.20% by 2034.

DCF Assumption

Worst Case:

- ANDA Growth: Gradually increasing from 1.90% in 2024 to 4.00% by 2034.
- NA Pharma Industry Growth: Steady at 6.50% until 2028, then gradually decreasing to 5.00% by 2034.
- US Generics Growth: Gradually decreasing from 6.50% in 2024 to 5.00% by 2034.
- Emerging Market: Stable at 10.00% until 2030, with a slight increase thereafter.
- India Business: Consistent at 8.00% until 2030, slightly increasing to 10.00% by 2034.
- Rest of World: Consistent at 5.50% throughout the period.
- API and Others: Gradual growth from 3.00% in 2024 to 5.50% by 2034.

Forecasting assumption

- Selling & marketing cost: will stay at a constant rate of 10% of revenue
- R&D cost: Based on the R&D expenditure for the last 5 years (6-7 % of revenue) the R&D cost for the next 5 years is kept at a constant rate of 6.5% of revenue.
- R&D expense has been amortized considering a 10 year period for the R&D to realize in cash flow
- Depreciation and amortization at a constant rate of 6% of revenue
- Capital expenditure as a percentage of revenue has been close to zero for the past 5 years. hence capex is considered to be zero for the next 5 years
- For calculating continuing value a sustainable growth rate of 3.06% has been assumed based on the market share weighted GDP growth rate of US, India and rest of the world.

Investment decision

Based on the valuation results, here's an investment recommendation for Sun Pharma:

1. Best Case Scenario: Implied share price is ₹2,535.75, which is 52% higher than the current market price of ₹1,668.75.
2. Base Case Scenario: Implied share price is ₹2,337.52, which is 40% higher than the current market price of ₹1,668.75.
3. Worst Case Scenario: Implied share price is ₹1,720.56, which is 3% higher than the current market price of ₹1,668.75.
4. Relative Valuation: Implied share price is ₹2,536.36, which is 52% higher than the current market price of ₹1,668.75.

Recommendation:

- Buy Recommendation: Given that the implied share prices in both the best and base case scenarios, as well as relative valuation, are significantly higher than the current market price (ranging from 40% to 52% higher), Sun Pharma appears to be undervalued in the market.
- Sell Recommendation: The worst case scenario shows a potential upside of only 3%, which may be considered a negligible gain if the risks are high. However, given the substantial upside in the other scenarios, a buy recommendation is more justified unless the investor is highly risk-averse.

Overall Investment Recommendation: Buy Sun Pharma with an expected upside of 40-52% based on valuation.